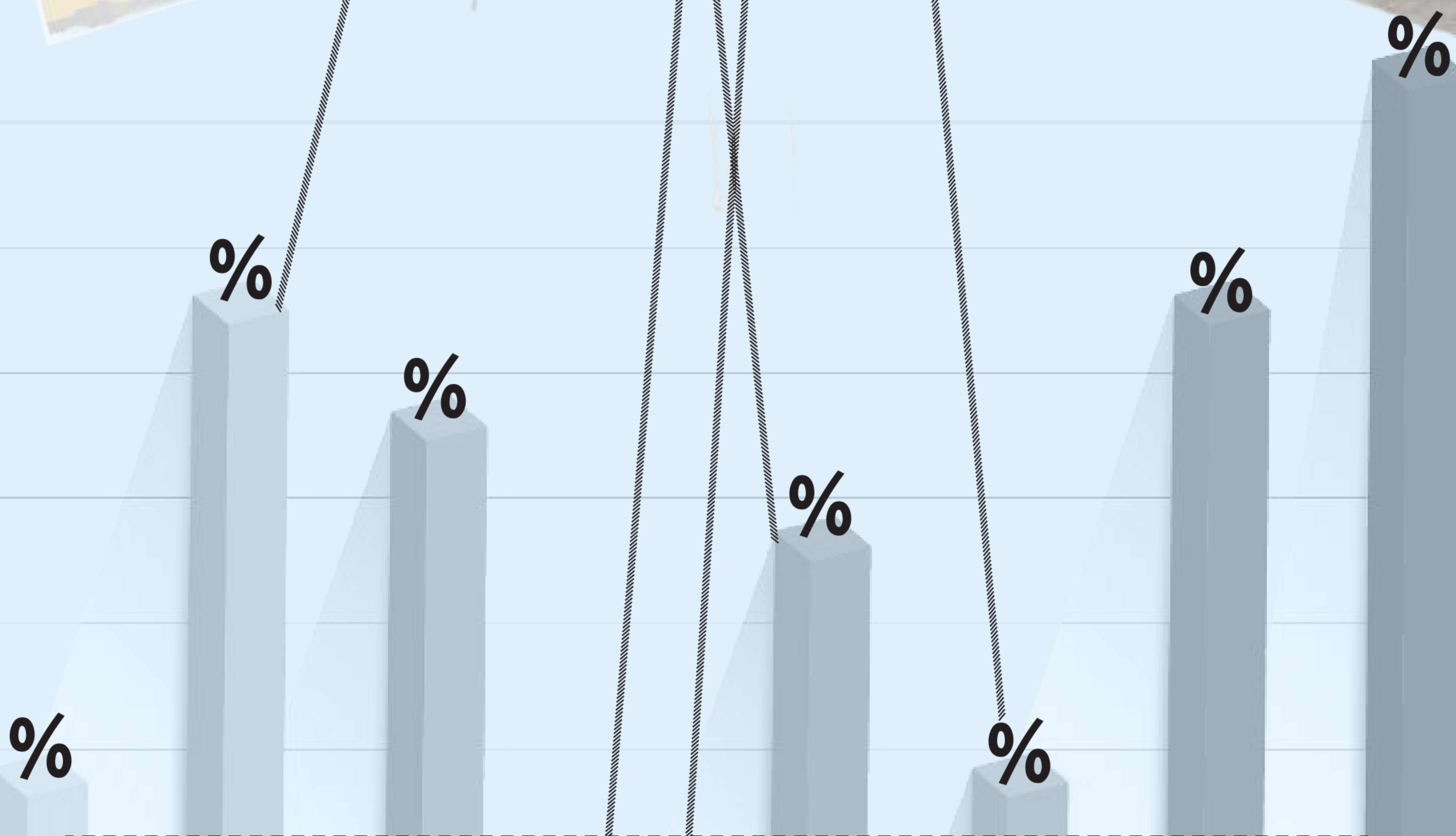


2. When to Invest in a Fixed Deposit?

Interest rate for FDs keep changing from time to time, depending on a lot of factors but they largely follow the interest rates set by our central bank.

To put it simply our central bank changes the interest rates to manage certain economic situations in the country and accordingly, the FD interest rates also change. So, if the interest rate set by central bank increases the FD interest rates are also likely to increase and vice versa.

Central Bank



So, when the interest rates are high we can book FDs for longer duration and take advantage of higher interest rates. Thus, we should keep a watch on the interest rates of the central bank and FDs. Do note that once you have booked your FD, your rate is fixed. It won't be affected by the change in the rates after that.